NATIONAL COMPANY LAW TRIBUNAL ITEM NO :3
ALLAHABAD BENCH

IA NO. 01/2021 & IA NO. 02/2021
IN CA (CAA) NO.06/ALD/2021

ATTENDANCE - CUM-ORDER SHEET OF THE HEARING OF ALLAHABAD BENCH OF THE NATIONAL COMPANY LAW TRIBUNAL ON 26.08.2021 AT 10:30 AM THROUGH VIDEO CONFERENCING.

NAME OF THE COMPANY : YASH COMPOSTABLES LTD WITH YASH PAKKA LTD

SECTION : 230/232 OF COMPANIES ACT 2013

PRESENT : HON'BLE MR. JUSTICE (RETD.) RAJESH DAYAL KHARE, MEMBER (J)

COUNSEL FOR APPLICANT : SH. ABHINAV MEHROTRA A/W SH. ANUJ KUMAR, ADVS.

IA NO. 01/2021 & IA NO. 02/2021 IN CA (CAA) NO.06/ALD/2021

The matter was taken up today through Video Conferencing.

Heard Sh. Abhinav Mehrotra, Advocate for the applicant through Video Conferencing.

The present **IA No.01/2021** has been filed on behalf of the applicant for modification of the order of this Tribunal dated 09.08.2021 in CA (CAA) NO.06/ALD/2021 and to give an option to the Applicant Company No.2 to conduct its meetings over virtual platform as permitted by MCA.

After hearing Ld. Counsel for applicant, this Court is of the opinion that the permission needs to be granted. Accordingly, option for having virtual meeting is hereby allowed as permitted by MCA.

The present **IA No.02/2021** has also been filed on behalf of the applicant for correction/ rectification of the order of this Tribunal dated 09.08.2021 in CA (CAA) NO.06/ALD/2021.

In view of the above, necessary corrections have been made ~~out~~ vide separate corrected order in CA (CAA) NO.06/ALD/2021.

Accordingly, the present IA No.01/2021 & IA No.02/2021 stands disposed off.

-Sd-

Dated : 26.08.2021

JUSTICE RAJESH DAYAL KHARE
(MEMBER JUDICIAL)

Typed by :
Kavya Prakash Srivastava
(Stenographer)

IN THE NATIONAL COMPANY LAW TRIBUNAL,
ALLAHABAD BENCH, ALLAHABAD

CA (CAA) NO. 06/ALD/2021
(Under Section 230(1) read with Section 232(1) of the Companies Act, 2013)
In the matter of Companies Act, 2013
And
In the matter of Section 230(1) read with Section 232(1) and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the Matter of:

YASH COMPOSTABLES LTD., a company incorporated under the Companies Act, 1956 and having its registered office at Flat No. 202, 3A/172 Azad Nagar, Kanpur, Uttar Pradesh – 208002
(CIN: U51100UP2014PLC062981)

….. Applicant company no. 1/ Transferor company

AND

YASH PAKKA LTD. a company incorporated under the Companies Act, 1956 and having its registered office at 2nd Floor, 24/57, Birhana Road, Kanpur, Uttar Pradesh – 208001.
(CIN: L24231UP1981PLC005294)

…..Applicant company no. 2/ Resulting Company

CORAM:
Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

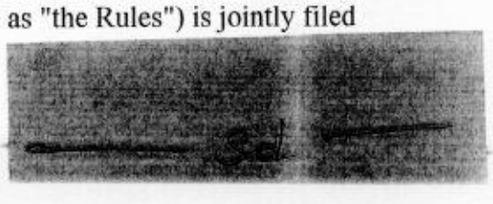
For the Applicants : Mr. Abhinav Mehrotra, Adv alongwith
Mr. Anuj Kumar, Adv

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

CORRECTED ORDER DATED 26.08.2021

1. The applicants have filed the application i.e (I.A No. 02/2021) for the correction of the order dated 09.08.2021 passed by this tribunal in CA (CAANO. 06/ALD/2021. However, it appears that certain inadvertent errors have been crepted in the order, so, this tribunal passes this Corrected Order, which is to be considered in place of the order, dated 09.08.2021.

2. This 1st motion under Section 230 and 232 of the companies Act, 2013 (herein after referred to as the "Act") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (herein after referred to as "the Rules") is jointly filed



by the present Applicants, seeking directions of this Tribunal to dispense with the requirement of convening meetings of Equity Shareholders and Un-secured Creditors of the Applicant Company No.1 and further to convene separate meetings of Equity shareholders and creditors (Secured and Unsecured) of the Applicant Company No. 2; to consider and, if deem fit, to approve the proposed Scheme of Amalgamation; The Applicant No. 1 Company is the Transferor Company, whereas the Applicant No. 2 is the Resulting Company as stated in the proposed Scheme of Amalgamation and in the Application..

3. The Applicant Company No.1 *[M/S Yash Compostables Ltd.]* is a Public Unlisted Company incorporated under the Companies Act 1956 and is having its registered office at Flat No. 202, 3A/172 Azad Nagar, Kanpur, U.P The share capital of the applicant company no.1 as on 31 December, 2020 is as under:

PARTICULARS	**(AMOUNT IN RS.)**
AUTHORIZED SHARE CAPITAL	
50,000/- Equity shares of Rs.10 each	**5,00,000/-**
Total	**5,00,000/-**
ISSUED, SUBSCRIBED AND PAID-UP CAPITAL:	
50,000 Equity Shares of Rs.10 each	5,00,000/-
Total	**5,00,000/-**

The Main Objects of the Transferor Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure 1 of the application.***

4. The applicant company no. 2 [*M/S Yash Pakka Ltd.*] (name changed) is a Listed Company having its registered office at 2nd floor, 24/57, Birhana Road, Kanpur, U.P. The share capital of the applicant company no.1 as on 31 December, 2020 is as under:

PARTICULARS	**(AMOUNT IN RS.)**
AUTHORIZED SHARE CAPITAL	
5,60,00,000 Equity shares of Rs.10 each	**56,00,00,000/-**

PREFERENCE SHARES	
4,00,000 preference shares of Rs. 100 each	**4,00,00,000**
Total	**60,00,00,000/-**
ISSUED, SUBSCRIBED AND PAID-UP CAPITAL:	
3,52,40,000 Equity Shares of Rs.10 each	35,24,00,000
Total	**35,24,00,000/-**

The Main Objects of the Transferor Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure 1 of the application.***

5. That as per the Scheme of Arrangement, the object, sought to be achieved through the present Scheme of Arrangement is following:

i. *YCL and YPL belong to the same group of management and promoters; hence it would be advantageous to combine the activities and operations in a single entity. The amalgamation would create synergies between two complementing companies with similar objective and business line.*

ii. *Both YPL and YCL has their independent B2B customer's and dealer networks, supply chain and logistic partners, the amalgamation will also provide synergistic linkages besides economies in costs by combining the total business functions in all segments including sales, procurement, logistic activities and the related activities and operations and thus contribute to the profitability of the amalgamated entity.*

iii. *Economies of scale will play a bigger role as the consolidated entity's operational efficiency will increase, which will in turn allow the merged entity to compete on a larger scale in the industry, thus benefiting the merged entity and the shareholders.*

iv. *The merger will enable the merged entity to build up a diversified product portfolio in YPL and will assist the merged entity with faster and quicker decision making as both manufacturing and marketing activities are under the same management.*

v. *The merger will enable the merged entity to get direct access to customers which will give them a better understanding of the market taste and customer requirements. This will assist the merged entity to produce right quality required for different market segment*

vi. *With YPL having a manufacturing experience of more than 40 years alongwith all the requisite technical know-how to produce in house paper pulp which is a basic input for compostable products, gives YPL an edge over other competitors and YCL a company involved in marketing will result in the merged entity to have all the necessary functions under one roof. It is considered desirable and expedient to consolidate and amalgamate the business of both YCL and YPL so as to bring both the functions will be under the same management, production*



planning process will become more aligned to the customer needs which will result in a stronger asset base and skills to conduct the business in the emerging environment and to rationalise the costs of business.

vii. *The amalgamation will increase the net worth of YPL which would enable it to capitalise upon such improved net worth to enhance the stake holders' value.*

viii. *The merger will increase financial strength, enhance flexibility and ability to raise larger resources, attract and retain better talent and undertake larger support services related projects.*

ix. *The merger will result in integration and effective utilisation of resources, which is likely to result in optimising overall shareholder value and improvement in competitive position of YPL as a combined entity.*

x. *The merger will result in economy of scale, reduction in overheads, administrative and other expenditure, efficiency and optimal utilisation of various resources.*

xi. *The merger will bring both the entities under one roof to portray one face to all the parties with whom the Yash Group deals.*

xii. *The merger will result in better leveraging of facilities, infrastructure and resources.*

xiii. *Duplication of administrative functions together with the multiple record keeping will be eliminated, resulting in over-all reduction in expenditure.*

xiv. *The merger will result in significant reduction in multiplicity of legal and regulatory compliances which at present is required to be made separately by YCL as well as by the YPL.*

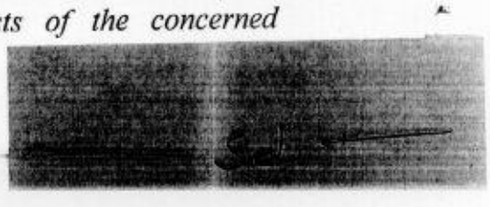
xv. *This merger will provide an opportunity to leverage assets and build a stronger sustainable business. It will provide an opportunity to fully leverage stronger asset capabilities, experience, expertise and infrastructure of both the companies and thus increased ability for promotion of business activities as well as for fund raising as may be required for business development.*

xvi. *The merger would lead to synergic benefits, efficiency of operations and management, rapid growth of the entity, optimum utilization of its resources and minimization of the administrative and operative costs.*

xvii. *The merger will result in a value creation for the shareholders and stakeholders of YCL and YPL as the combined amalgamated company will have improved efficiency, market share, financial structure, larger cash flows and stronger consolidated revenue and profitability.*

xviii. *The merger of YCL with YPL would result in consolidation of business activities of both the companies and will facilitate effective management of investments and synergies in operation.*

xix. *There is no likelihood that any shareholder or creditor or employee of YCL and YPL would be prejudiced as a result of the Scheme. Thus, the merger is in the interest of the shareholders, creditors and all other stakeholders of the companies and is not prejudicial to the interests of the concerned*



shareholders, creditors or the public at large.

6. The Board of Directors of Applicant company no. 1 and the Board of Director of Applicant Company No.2 have passed necessary resolutions on 20th June, 2020 consenting to and approving the proposed Scheme of Arrangement. *The board resolutions have been appended as Annexure 7 & 8 to the Application.*
7. The Applicant Companies filed the Audited Financial Statements for the financial year ended 31st March, 2019 and 31st March,2020 which has been annexed as Annexure 2,3,5& 6 of the Application.

8. It is stated that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013, or under the provisions of the Companies Act, 1956 is pending against the Applicant Companies.

9. It is further submitted that since Applicant Company No.2 is a Listed Company, accordingly under the requirements of SEBI, necessary comments and observations have been obtained from Bombay Stock Exchange. The Relevant correspondence in this regard is annexed as Annexure 9, 10 & 11 of the Joint Company Application.

10. The learned Counsel for the Applicant Companies filed details of Shareholders, Secured Creditors and Un-secured Creditors detailed below:
    i. The Applicant Company No.1 has 7 Equity Shareholders and all such Shareholders have given consent letter/affidavit approving the Scheme of Arrangements. Further the company has Nil secured creditors and 16 Unsecured Creditors who have been paid off, thus prays for the dispensation of their meeting.
    ii. In regard to the Applicant No. 2 it is stated that the resulting company is the listed company and details of its shareholders is available in public domain and it keeps on changing since the shares are traded on Bombay Stock Exchange. Further the resulting Company has Company has 5 (Five) **Secured Creditors** and Company has 252 (Two Hundred And Fifty Two) **Un-secured Creditors** and prayed for their meeting to be convened.

11. The Applicants have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standards prescribed

Statutory Auditors of the Applicant Companies have been filed along with the Application.

12. That, there are no investigation proceedings pending under Sections 235 to 251 of the Companies Act, 1956, against the Applicant Company companies.

13. Learned Counsel appearing for the Applicants, made the following contentions with respect to the dispensation of the requirement of convening meetings of the following persons:

A. *All the Equity Shareholders of the Transferor Company have given their written consents by way of affidavits. Therefore, the requirement of convening meeting of the Equity Shareholders of the Transferor Company may be dispensed with.*

B. *There is no Secured Creditor in the Transferor Therefore, there is no need to convene meetings of the Secured Creditors of the Transferor Company and Resulting Company.*

C. *All the Un-secured Creditors of the Transferor Company have been paid off. Therefore, the requirement of convening meeting of the Un-secured Creditors of the Transferor Company may be dispensed with.*

14. Further, Learned Counsel-Mr. Abhinav Mehrotra, appearing for the Applicants, requested to convene the following meetings under the supervision of this Tribunal, for the purpose of considering and if deem fit, approving the proposed Scheme of Amalgamation:

a. *To convene a meeting of Equity Shareholders of the Resultant Company.*
b. *To convene a meeting of Secured Creditors of the Resultant Company.*
c. *To convene a meeting of Un-secured Creditors of the Resultant Company.*

15. This Tribunal directs that, in view of the consent affidavits given by the Equity Shareholders and unsecured creditors as on 30.06.2020 have been paid off, of the Transferor Company and further as there is nil secured creditors the requirement of convening meeting of the Equity Shareholders, secured creditors and unsecured creditors of the Transferor Company, for the purpose of considering and if thought fit approving the proposed Scheme of Amalgamation, is dispensed with.

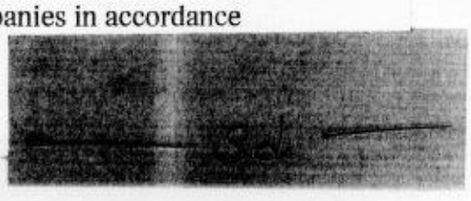


16. Further as prayed by the learned Counsel of the Applicants, ***a meeting of the Equity Shareholders of the Resultant Company will be held on Thrusday, 7th October ,2021, at 11:30 A.M. at Yash Nagar, Ayodhya-224135, UttarPradesh*** or on convenient date fixed later on by the chairman/alternate chairman mutually agreed respectively by the Board of Directors of the company and can also change the venue and time of the meeting accordingly for the purpose of considering and if thought fit for approving with or without modification(s), the Scheme of Arrangement.

17. Further as prayed, ***a meeting of the Secured Creditors of the Resultant Company will be held on Thrusday,7th October 2021, at 1.30 P.M. at Yash Nagar, Ayodhya-224135, UttarPradesh*** or on convenient date fixed later on by the chairman/alternate chairman mutually agreed respectively by the Board of Directors of the company and can also change the venue and time of the meeting accordingly for the purpose of considering and if thought fit for approving with or without modification(s), the Scheme of Arrangement.

18. Further as prayed, ***a meeting of the Un-secured Creditors of the Resultant Company will be held on Thrusday, 7th October,2021, at 03.00 P.M. at Yash Nagar, Ayodhya-224135, UttarPradesh*** or on convenient date fixed later on by the chairman/alternate chairman mutually agreed respectively by the Board of Directors of the company and can also change the venue and time of the meeting accordingly for the purpose of considering and if thought fit for approving with or without modification(s), the Scheme of Arrangement.

19. At least one month before the date of aforesaid meetings, an advertisement about convening of the said meetings, indicating the day, date, place and time, as aforesaid, shall be published in English daily, i.e., Times Of Times, English Edition and in Dainik Jagran, Kanpur Edition widely circulated at registered offices of the applicant companies. The publication shall indicate the time within which copies of the Scheme of Amalgamation shall be made available to the concerned persons, free of charge from the registered office of the Applicant Companies. The publication shall also indicate that the explanatory statement required to be furnished pursuant to Sections 230 & 232 read with Section 102 of the Companies Act, 2019 and the prescribed form of proxy can be obtained free of charge at the registered office of the Applicant Companies in accordance

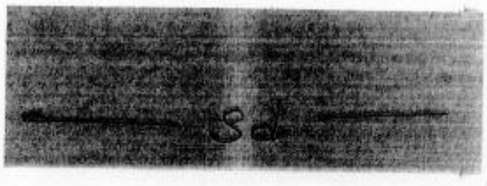


with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

20. At least one month before the date of the meetings to be held as aforesaid, a notice in Form No. CAA 2 convening the said meetings, indicating the day, date, place and time aforesaid, together with a copy of the Scheme of Amalgamation, a copy of statement required to be furnished pursuant to Sections 230 & 232 read with Section 102 of the Companies Act, 2019, and Rule 6 of the Companies (CAA) Rules, 2016 and the prescribed form of proxy shall be sent by Registered Post or by Speed Post or by Courier or by E-Mail or Hand Delivery, and Equity Shareholders with reference to the list of the persons appearing on the record of the Applicant Companies as on the date not preceding the date of the meeting by a period of more than 6 months., to the Secured Creditors and Un-secured Creditors of the Resultant Company, as the case may be, at their respective registered or last known addresses or e-mail addresses as per the records of the Applicant Companies. The aforesaid date would be the date determining the cligibility to vote by the Shareholders, Secured Creditors and Un-secured Creditors.

21. ***Mr. Shivendra Bahadur, Advocate Mobile No.:9415633982, Email: bahadurshivendra@gmail.com*** is appointed as Chairman and with ***Mr. Adarsh Bhusan, Advocate Mobile No.: 9984993930 Email:kumar.adarsh1972@gmail.com*** as alternative chairman and ***Mr. Anil Kumar, Company Secretary in practice Mobile No. 9415306147, E-mail: purswanianil@gmail.com*** as scrutinizer. The chairman and alternative chairman shall be paid Rs.75,000 as honorarium while as scrutinizer will be paid Rs.50,000. Apart from above remuneration, the Applicant Company shall make necessary and proper arrangement for travel/transport, stay and other allied expenses.

22. The quorum for the aforesaid meetings of the Equity Shareholders, Secured Creditors and Un-secured Creditors of the Resultant Company shall be 25% of total value of each of these categories/stakeholders. Valid Proxies and Authorised Representatives shall be counted for the purpose of quorum.



23. In case the quorum as noted above for the meetings of the Applicant Companies are not present in the meetings, then the meetings shall be adjourned for half an hour and thereafter the person present shall be deemed to constitute the quorum.

24. The number and value of the Equity Shareholders, secured creditors and Un-secured Creditors shall be in accordance with the records or registers of the Applicant Companies and where the entries in the records or registers are disputed, the Chairperson of the meetings shall determine the number or value, as the case may be for purpose of the meetings.

25. The Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meetings referred to above. The Chairperson is free to avail the services of the Applicant Companies or any agency for carrying out the aforesaid directions.

26. Voting by proxy/authorised representatives is permitted provided that the proxy in the prescribed form duly signed by the person entitled to attend and vote at the aforesaid meetings is filed with the Applicant Companies at their Registered Office, not later than 48 hours before the meeting vide Rule 10 of the Companies (CAA) Rules, 2016 read with Section 105 of the Act. Valid Proxies and Authorised Representatives shall be counted for the purpose of quorum.

27. The Chairperson to file an Affidavit not less than 7 (seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meetings have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

28. It is further ordered that the Chairperson shall report to this Tribunal on the result of the meeting in Form No. CAA-4, duly verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 within 7 (seven) working days from the date of conclusion of the aforesaid meetings.

29. In compliance of sub section (5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the Applicant Companies shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme of Amalgamation, the explanatory statement and the disclosures



mentioned in Rule 6 to (a) the Central Government through the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh (c) The Official Liquidator, Allahabad; and (c) the Income Tax Authorities (d) SEBI (e) NSE & BSE. The said notices be sent either by Registered Post or by Speed Post or by Courier or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

30. With the above directions CA (CAA) No. 06/ALD of 2021 is disposed of accordingly.



JUSTICE RAJESH DAYAL KHARE

MEMBER (J)

Date: 26.08.2021

Swati Gupta
(LRA)